**IN THE SUPREME COURT OF INDIA**

**CIVIL APPELLATE JURISDICTION**

**SPECIAL LEAVE PETITION (CIVIL) No. OF 2010**

IN THE MATTER OF:

Sri. M.V. Subramanya Petitioner

Versus

M/s. Oriental Insurance Company Limited
and 2 others Respondents

**AFFIDAVIT**

I, M.V. Subramanya, aged 64 years, s/o. late M.V. Venkatappa, Proprietor, Sri. Udayaranga Motor Service, Pete Malavalli, Malavalli Town, Mandya District, Karnataka State, today at Bangalore, do hereby solemnly affirm and state on oath as follows:-

1. I am the petitioner in the present Special Leave Petition and as such I am fully conversant with the facts of the case. I am authorised to swear to this affidavit on behalf of the other petitioner also.

2. The contents of the Synopsis and the List of Dates (pages ) Special Leave Petition paras 1 to and the IAs respectively

and state that the contents of the same are all true to the best of my knowledge and belief; and that the contentions of law raised in the petition are based on the legal advice tendered to us which we believe to be true.

3. The annexures filed with the Special Leave Petition are all true copies of their respective originals.

Verified at Bangalore on 25th day of October 2010.

DEPONENT

No.of corrections

Identified by me

Advocate

**IN THE SUPREME COURT OF INDIA**

**CIVIL APPELLATE JURISDICTION**

**SPECIAL LEAVE PETITION (CIVIL) No. OF 2010**

IN THE MATTER OF:

Sri. M.V. Subramanya — Petitioner

Versus

M/s. Oriental Insurance Company Limited
and 2 others — Respondents

**SYNOPSIS AND LIST OF DATES**

(1) The issue involved in the Special Leave petition is as to whether or not the insurer is not liable to indemnify totally the petitioner-insured, in damages in respect of the vehicle that the petitioner had insured on 7.9.1988, with the said Insurance Company, having regard to the provisions of Section 147 (2) (a) of the Motor Vehicles Act, 1988 or is the liability of the insurer confined to a maximum sum of Rs.50,000/- only under Section 95 (2) of the Motor Vehicles Act, 1939, keeping in view the incontrovertible fact that the policy of insurance issued by the 1st respondent in respect of the vehicle of the petitioner-insured had been so issued on 7.9.1988 and was valid till 6.9.1989 whereas the accident in which it was involved injuring the 3rd respondent herein

occurred on 9.1.1989; and the Indian Motor Vehicles Act, 1939 was repealed by the Motor Vehicles Act, 1988 with effect from 1.7.1989, almost 10 months after the insurance policy in respect of the vehicle of the petitioner had been issued by the respondent-Insurer.

(2) The 1st respondent is an insurance company with which the Bus bearing No. CAA 2967 had been insured on 7.9.1988 as at which date the Indian Motor Vehicles Act, 1939, had been in force. The said vehicle was involved in an accident when it collided on 9.1.1989 with the car belonging to the 3rd respondent, and bearing Registration No. AHA 7069. The driver of the said car filed a claim petition under Section 110 A of the Motor Vehicles Act, before the Motor Accidents Claim Tribunal, Bangalore Rural District, Bangalore, on 7.7.1989, in M.V.C. No. 609/1989 on its file, the 1st respondent herein being the 3rd respondent in the said proceedings. The Tribunal allowed his claim on 1.7.2000, awarding a compensation of Rs.78,655/- with interest at 6% per annum from 7.7.1989 till the date of realisation of the amount awarded. The 1st respondent-company satisfied the said award passed in M.V.C. Case No.609/1989 on 8.2.2001, without any demur against the same by depositing before the Tribunal a sum of Rs.1,33,646/- in full and final settlement of the claim of the said driver.

(3) While the 3rd respondent had been hurt and injured in the impact that occurred on 9.1.1989 and was therefore justified in lodging his claim for compensation, strangely his son – the 2nd respondent herein joined the 3rd respondent in lodging the said claim petition in M.V.C. Case

No.691/1989 before the Additional Motor Accident Claim's Tribunal. The award passed by the said Tribunal in M.V.C. case No. 691/1989 had been challenged by the 1st respondent-insurer, in M.F.A. No. 6834/2002 in the Hon'ble High Court of Karnataka at Bangalore under Section 173 (1) of the Motor Vehicles Act, 1988 questioned in the said award, holding that the accident having occurred on 9.1.1989, prior to the Motor Vehicles Act, 1988 coming into force, the liability of the 1st respondent-insurer, under the earlier enactment of 1939 was limited to Rs.50,000/- towards third parties and that therefore the remaining amount of compensation should be paid to the claimant, namely the petitioner-owner of the vehicle. The Hon'ble High Court has also directed by its judgment impugned in this Special Leave petition that the amount in excess of Rs.50,000/- that the insurer has deposited in fulfillment of the condition that had been imposed in the appeal for granting stay of the enforcement of the award during the pendency of the appeal shall be refunded to the insurer. As a consequence thereof the petitioner is being proceeded against by the claimants, for recovery of a sum of Rs.13,18,610/-; and an Execution Petition under Order 21 Rule 11 of the Code of Civil Procedure, 1908 has been filed by the claimants in Execution No.34/2010 in the court of the learned Civil Judge (Sr.Divn) and the Additional Motor Accident Claims Tribunal, Ramanagaram District, Ramanagar.

(4) The petitioner having been served with the notice of the aforementioned appeal of the insurer had engaged a learned counsel to represent him in the said appeal which has since been allowed on

12.1.2009 which fact was not known to the petitioner till quite recently when he was served with a notice in the execution proceedings, when he came to know of the appeal having been allowed on 12.1.2009, and the liability of the insurer having been limited to Rs.50,000/- and in respect of the remaining amount of compensation the Hon'ble High Court having directed that the same shall be paid by the petitioner-owner. There was, unfortunately no communication to the petitioner, from his counsel, about the appeal having been disposed of. He was thus in dark about the same till very recently.

(4) Immediately on coming to know of the same the petitioner made enquiries at the Registry of the Hon'ble High Court of Karnataka, Bangalore, about the stage of the appeal, and submitted an application dated 14.10.2010 for furnishing him a certified copy of the judgment and award (decree) passed therein. The same having been furnished to him on 20.10.2010, this Special Leave Petition is presented by him, without brooking any delay in the matter, feeling aggrieved by the said judgment and decree of the Hon'ble High court of Karnataka.

**LIST OF DATES**:

| | |
|---|---|
| 7.91988 | The 1st respondent issued in favour of the petitioner a policy of insurance in respect of the bus bearing Registration No. CAA 2967. |

| | |
|---|---|
| 9.1.1989 | The said vehicle was involved in a collision with the 3rd respondent-car bearing registration No. 7069, on Bangalore – Mysore Road. |
| 1.7.1989 | The Motor Vehicles Act, 1988 came into force, repealing the earlier Act of 1939. |
| 7.7.1989 | The driver of the car of the 3rd respondent filed a claim petition before the Motor Accident Claim Tribunal, Bangalore Rural District, Bangalore in M.V.C. Case No. 609/1989 against the 1st respondent interalia claiming Rs.1,70,000/- as compensation for the injuries sustained by him in the impact. The same day the respondents 2 and 3 herein also filed a similar petition in M.V.C. Case No. 691/2007 before the same Tribunal claiming compensation of Rs.15,20,000/- A true copy of the claim petition filed by respondents 2 and 3 herein is filed herewith as **ANNEXURE-P-1.** |
| 31.7.1993 | The petitioner filed his statement of objections, opposing the claim. A true copy of the said statement is filed herewith as **ANNEXURE-P-2.** |

21.11.1990 The insurance company- the 1st respondent herein filed its statement of objections opposing the claim. A true copy thereof is filed herewith as **ANNEXURE-P3.**

9.7.2010 The claim made by respondents 2 and 3 was upheld and a total compensation of Rs.6,60,641/- with current and future interest thereon at the rate of 6% per annum from 7.7.1989 till the date of realization was ordered directing that the insurer and the petitioner herein were jointly and severaly liable to meet the said liability. True copies of judgment and the award both dated 9.7.2002 respectively are filed herewith as **ANNEXURE-P4 and P5**.

17.12.2002 In the appeal filed by the insurer a Division Bench of the Hon'ble High Court of Karnataka passed a conditional interim order of stay of the operation and execution of the award dated 9.7.2002 that the insurer had to deposit, within 8 weeks from that date, Rs.2,50,000/- in the office of the Tribunal.

12.1.2009 The impugned judgment and decree have been passed by the Hon'ble High Court, in the aforesaid appeal, limiting the liability of the 1st respondent to a maximum sum of Rs.50,000/- with a direction that the

remaining sum of compensation shall be paid by the petitioner.

22.3.2010 The respondents 2 and 3 have filed an Execution Petition in Execution case No.34/2010 before the Tribunal. A true copy of the said petition is filed herewith as **ANNEXURE-P6**, in which a sum of Rs.13,18,610/0 has been claimed by them against the petitioner. Alongwith the said Execution Petition has been filed by the 2nd respondent herein an affidavit. A true copy whereof is filed herewith as **ANNEXURE-P7**.

September 2010 The petitioner was served with a notice issued in the aforementioned Execution Petition.

21.9.2010 In response to the said notice the petitioner has appeared before the Tribunal, through his counsel.

14.10.2010 The petitioner made enquiries at the Registry of the Hon'ble High Court of Karnataka, Bangalore, about the stage of M.F.A. No. 6834/2002 (MV), and on ascertaining that the same has been disposed of 12.1.2009 itself applied for a certified copy of the judgment and decree appealed from herein.

| | |
|---|---|
| 20.10.2010 | The certified copies applied for by him having been furnished to him this Special Leave Petition is presented, without brooking any intentional delay on his part. |
| 29.10.2010 | Aggrieved, Special Leave Petition is filed. |

**IN THE SUPREME COURT OF INDIA AT NEW DELHI**

**(Order XVI Rule 4(1)(a) of the Supreme Court Rules)**

**CIVIL APPRELLATE JURISDICTION**

**SPECIAL LEAVE PETITION**

**(Under Article 136 of the Constitution of India)**

**WITH PRAYER FOR INTERIM RELIEF**

**Special Leave Petition (Civil) No._____/2010**

**POSITIONS OF PARTIES**

| | **In the High Court** | **In this Court** |
|---|---|---|
| In the matter of :- | | |
| I, M.V. Subramanya,<br>aged 64 years,<br>s/o. late M.V. Venkatappa,<br>Proprietor,<br>Sri. Udayaranga Motor Service,<br>Pete Malavalli, Malavalli Town,<br>Mandya District,<br>Karnataka State, | 3rd Respondent | 1st Petitioner |

And:-

| | | |
|---|---|---|
| 1. M/s. Oriental Insurance Company Limited, Regional Office, 44/45, LEO Shopping Complex, Residency Road Cross, Bangalore – 560 025, Represented by its Administrative Officer. | 3rd Respondent | 1st Respondent |
| 2. Rajender Dhoot, aged about 44 years, s/o. Pulhraj Dhoot, Representing his father residing at No. 21-3-95, Chellapura, Hyderabad – 500 002 | 1st Respondent | 2nd Respondent |
| 3. Pukhraj Dhoot, aged about 64 years, s/o. Multanchand Dhoot, residing at No. 21-3-95, Chellapura, Hyderabad – 500 002 | 2nd Respondent | 3rd Respondent |

To,

THE HON'BLE CHIEF JUSTICE OF INDIA AND
HIS OTHER, COMPANION JUDGES OF THE
SUPREME COURT OF INDIA, NEW DELHI

THE HUMBLE PETITION OF THE PETITIONER
ABOVE NAMED

The Special Leave Petition of the Petitioner:

**MOST RESPECTFULLY SHOWETH:**

1. That the petitioner above named respectfully submits this Special Leave Petition under Article 136 of the Constitution of India for grant of Special Leave to Appeal against (i) the Judgment and Decree dated 12.1.2009 passed by a Division Bench of the Hon'ble High Court of Karnataka, Bangalore in M.F.A. No.6894/2002 on its file, whereby the award dated 9.7.2002 passed by the Additional Motor Accidents, Ramanagaram District, Ramanagarm, Karnataka State, has been modified thereby restricting the liability of the insurer to a sum of Rs.50,000/- and directing that the remaining amount of compensation awarded by the Tribunal shall be paid by the petitioner-insured.

2. **QUESTIONS OF LAW**:

This petition raises the following substantial and important questions of law, for grant of Special Leave to Appeal.

a. Having regard to the fact that the Motor Vehicle Act 1988 came into force prospectively on 1.7.1989, as at which date the policy of insurance issued by the 1st respondent on 7.9.1988 is governed by Section 147(2) (a) of the Motor Vehicles Act, 1988 as ruled by this Hon'ble Court in the case of …….or whether Section 95 (2) of the Motor Vehicles Act, 1939 governs the same.

b. Is the Hon'ble High Court of Karnataka correct in presuming, though not specifically mentioning in its judgment that Section 95 (2) of the Act, 1939 would apply to the case on hand.

c. Is the contention of the 1st respondent-insurer tenable in law that its liability is restricted to a maximum sum of Rs.50,000/- only when, without demur or resentment, it has duly settled the entire-claim of the Driver of the car of the 3rd respondent, in a sum of Rs.1,33,646/- on 8.2.2001? Thus, was such a contention that its liability had to be confined to a maximum sum of Rs.50,000/- available to it in law, to be urged in the appeal from which this Special Leave Petition has arisen?.

d. Is not the judgment impugned herein cryptic, laconic and lacking application of mind to the case on hand, particularly when the question raised in the miscellaneous appeal filed before it was fully covered by the binding ruling of this Hon'ble Court, in the case of National Insurance

Company Vs. Beharilal, reported in 2000 (7) SCC at page 137 = AIR 2000 S.c. page 3053?

3. DECLARATION IN TERMS OF RULE 4(2) :-

The petitioners state that no other petition seeking leave to appeal has been filed by either of them against the judgment questioned in this Special Leave Petition, previously.

4. **DECLARATION IN TERMS OF RULE 6** :-

The Annexures P1 to_____ produced with the Special Leave Petition are all true copies of the documents which formed part of the records of the case in the High Court from the judgment of which court the present Special Leave Petition has arisen.

5. **GROUNDS** :-

Leave to appeal against the judgment and decree dated 3.7.2009 also the later order dated 23.7.2010 is sought by the petitioner, on the following grounds.

I. The impugned judgment is plainly illegal and opposed to the provisions of sub-section 2 (a) of Section 147 of the Motor Vehicles Act, 1988 as also the ruling of this Hon'ble Court reported as National Insurance Company Ltd., Vs. Bihari lal and, others vide 2000 (7) SCC

137 = AIR 2000 S.C. page 3053, and in particular paragraphs 13 and 15 thereof reading thus:

> **"Para 13….does not limit the liability of Insurance Companies to payment of compensation to the extent specified in the policy of insurance in terms of Section 95 (2) of the Old Act, which is in force before the commencement of the New Act of till the date of expiry of such policy, whichever is earlier. In this view of the matter, we endorse the view taken by the Division Bench of the High Court of Gujarat in Kacharabhai L. Limbachia V. Ratansinh J. Rathod-Patelia, 1998 (1) ACJ 326; (1997 AIHC 3962) and by the Division Bench of the Punjab and Haryana High Court in National Insurance Company Ltd. V. Puja Roller Flour Mills (Pvt.) Ltd., 1997 (116) Pun LR 199".**
>
> **Para 15. In the instance case, the policy was issued on October 28, 1988 and it was valid upto October 27, 1989. The New Act came into force on July 1, 1989 and the accident occurred on September 4, 1989, after the New Act came into force but before the expiry of the policy in force. On these facts the liability of the Insurance Company will be governed by Sub-Section (2) (a) of Section 147 of the New Act, namely, the amount of liability incurred but not under Section 95 (2) of the Old Act. The High Court is therefore, right in allowing the appeal of the respondents claiming the whole amount of compensation awarded by the Tribunal from the Insurance Company".**

II. The judgment and award appealed from are unsustainable in law as the same have proceeded on a fundamentally erroneous assumption that in respect of the accident which occurred on 9.1.1989, long before

the Motor Vehicles Act, 1988 came into force prospectively from 1.7.1989 the liability of the insurer has to be confined to a maximum sum of Rs.50,000/- only, without even a cursory examination of or reference to the relevant provisions of the respective enactments or the contents of the insurance policy and the well-considered judgment passed by the Motor Accidents Claims Tribunal (vide Annexure-A4 ante).

III. The impugned judgment is laconic in nature. It does not dwell on, discuss or deal with any of the facts of the case, the contentions of the parties, the findings of the Tribunal or even the provisions of the respective enactment of 1939 and 1988, and hence the said judgment which does not contain the essential ingredients of a judicial order is unsustainable in law.

IV. The findings contained in paragraph 3 of the impugned judgment that the liability of the insurance company, under the old Act is limited to Rs.50,000/- ignores the provisions of Section 147 (2) (a) of the Act, as also the ratio of the ruling of this Hon'ble Court rendered in 2000 (7) SCC 137, reported as National Insurance Company Vs. Beharilal.

6. **GROUNDS FOR INTERIM RELIEF** :-

(i) The respondents 2 and 3 have filed an Execution Petition in the Principal Civil Judge (Sr.Divn) and Chief Judicial Magistrate,

Ramanagaram, in Execution Case No. 34/2010 on 23.10.2010. The said proceedings have been posted to 30.10.2010 and are likely to result in the hurried enforcement of the claim made by the said respondents in Annexure-P6. The petitioner is not liable to indemnify the respondents 2 and 3 in any sum of money particularly having regard to the incontrovertible fact that as at the date of the accident the petitioner's vehicle involved in the same had been insured with the 1st respondent which, under the policy of insurance, as also under the doctrine of indemnity and guarantee liable to indemnify the petitioner towards the compensation claimed by the other respondents. If the operation, execution and enforcement of the award appealed from are not stayed in this Special Leave Petition, the same will result in a substantial miscarriage of justice to the petitioner besides leading to multiplicity of proceedings and also rendering the very Special Leave Petition, nugatory and infructuous.

7. **MAIN PRAYER** :-

It is, therefore, most respectfully prayed that this Hon'ble Court graciously be pleased to :-

a) GRANT Special Leave to appeal from the impugned judgment and decree 12.1.2009 passed by a Division Bench of the Hon'ble High Court of Karnataka,

Bangalore in M.F.A. No.6894/2002 on its file, whereby the award dated 9.7.2002 passed by the Additional Motor Accidents, Ramanagaram District, on its file in MVC Case No. 691/1989 has been modified;

and

b) PASS such other or further orders as this Hon'ble Court may deem just and proper in the facts and circumstances of the case, including the award of the costs of the proceedings althrough, and in the interest of justice and equity.

8. PRAYER FOR INTERIM RELIEF :-

It is, therefore, most respectfully prayed that your Lordships may graciously be pleased to:

(a) ***grant*** an exparte order of stay of the operation, implementation and execution of the decree dated 12.1.2009 passed by a Division Bench of the Hon'ble High Court of Karnataka, Bangalore in M.F.A. No.6894/2002 on its file,

***and***

(b) ***pass*** such other order or orders which this Hon'ble Court may deem fit and proper in the interest of justice.

New Delhi
Date: 27.10.2010

Advocate for the Petitioner

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**IN THE SUPREME COURT OF INDIA**

**CIVIL APPELLATE JURISDICTION**

**CIVIL APPEAL No. OF 2010**

IN THE MATTER OF:

Smt. Susheela S. Iyengar Appellant

Versus

M/s. Rajagruha Estates Respondent

**APPLICATION UNDER SECTION 5 OF THE INDIAN LIMITATION ACT, 1963 FOR CONDONATION OF DELAY**

The petitioner above named respectfully submits as follows:

1. In order to avoid repetition of the contents of this Memorandum of Special Leave Petition, it is respectfully prayed that the said contents may kindly be read and treated as a part and parcel of this application. To the extent relevant in this context the same are hereby reiterated.

2. The judgment and award appealed from herein have been passed on 12.1.2009. Eventhough the petitioner had engaged in the said appeal a counsel to represent him, it is unfortunate that it is not clear whether he had or had not appeared in the proceedings.

3. On enquiry with him he stated to the petitioner that he was not aware of the posting of the appeal before the Hon'ble High Court on 12.1.1989 since he had not statedly received the cause-list for the day in respect of the said case. The judgment appealed from also does not show his appearance. Only on receipt of the notice issued in the Execution proceedings in the 3rd week of September this year, that the petitioner came to know of the impugned judgment and award; and upon enquiry at the Registry of the Hon'ble High Court of Karnataka ascertained about the same applied for a certified copy of the same on 14.10.2010 and the same and having been made available to him on the 20th instant the above special leave petition has been presented by him without brooking any intentional delay on his part. He has althrough

been diligent in the matter. But for the want of knowledge of the disposal of the appeal prior to September 2010 the petitioner would have immediately appealed from the said judgment and decree within the period of limitation prescribed therefor.

4. Since the genuine cause for the delay is as mentioned above, and the petitioner has althrough been diligent in the matter and would be subjected to a severe financial detriment if the petition is not entertained on its merits after condoning the delay, in filing the same he respectfully submits that it would be just and necessary to condone the delay in filing the Special Leave Petition, in view the interest of justice, and in of the ratio of the ruling of this Hon'ble court in the case of Khameshwar Prasad Singh Vs. the State of Bihar and others reported in 2000 (9) SCC page 94 = AIR 2000 S.C. page 2036 that a good cause should not be lost on technicalities of limitation or the like and such a cause has to be dealt with by the courts on the merits thereof.

4. It is most respectfully prayed accordingly.

New Delhi
Date: 28.10.2010

Advocate for the Petitioner

Date: 18.1.2012

To:

M.V. Subramanya,
s/o. late M.V. Venkatappa,
Proprietor,
Sri. Udayaranga Motor Service,
Pete Malavalli, Malavalli Town,
Mandya District.

Sir,

The Special Leave Petition No.34164/2010 filed by you against the Oriental Insurance Co.Ltd. and others having been heard by the Hon'ble Supreme Court of India on 2.1.2012. The said petition has been dismissed solely on the ground of delay of 585 days in filing the said petition. The Hon'ble Court did not agree with the explanation that had been offered in the application for condonation of delay that only on account of communication gap the delay had occurred; and that only upon service of notice in the execution petition filed by the claimant you came ot know of the judgment and order dated 12.1.2009 passed by the Hon'ble High Court of Karnataka, Bangalore in M.F.A. No.6834/2002. Since the delay in filing the Special Leave petition has not been condoned, the Special Leave Petition, as already stated, has been dismissed solely on the ground of delay.

A certified copy of the final order passed in the Special Leave petition is enclosed herewith.

Yours faithfully,

Encl: as above